



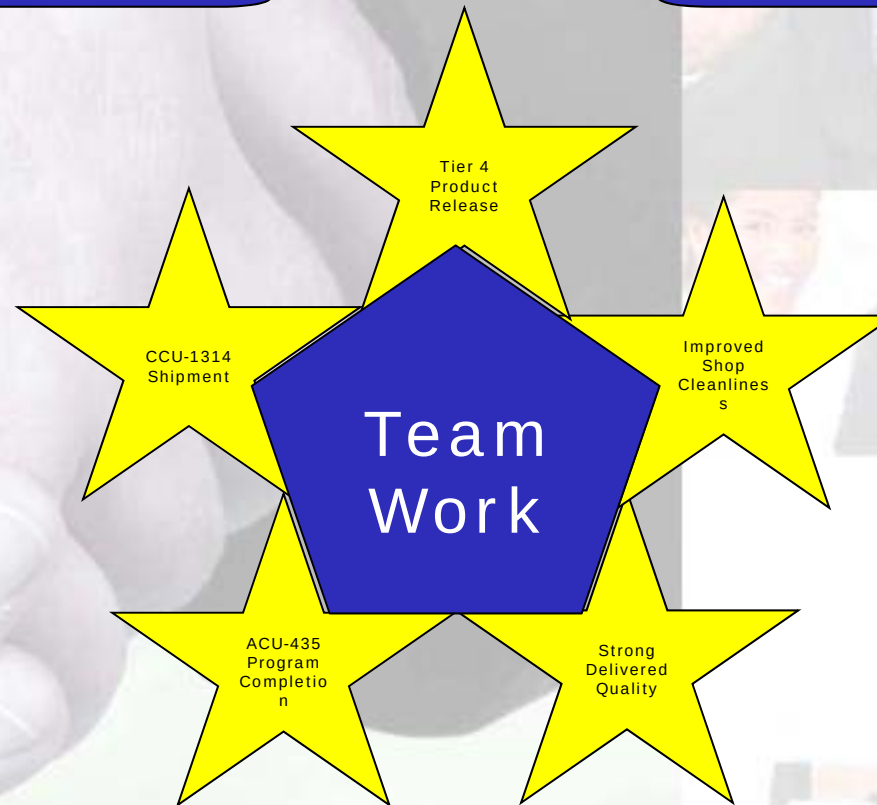
Local Support, Total Commitment

TLD ACE
All Hands Meeting
December 2015

TLD

People behind your equipment

\$100 MUSD Sales



2015 Successes!

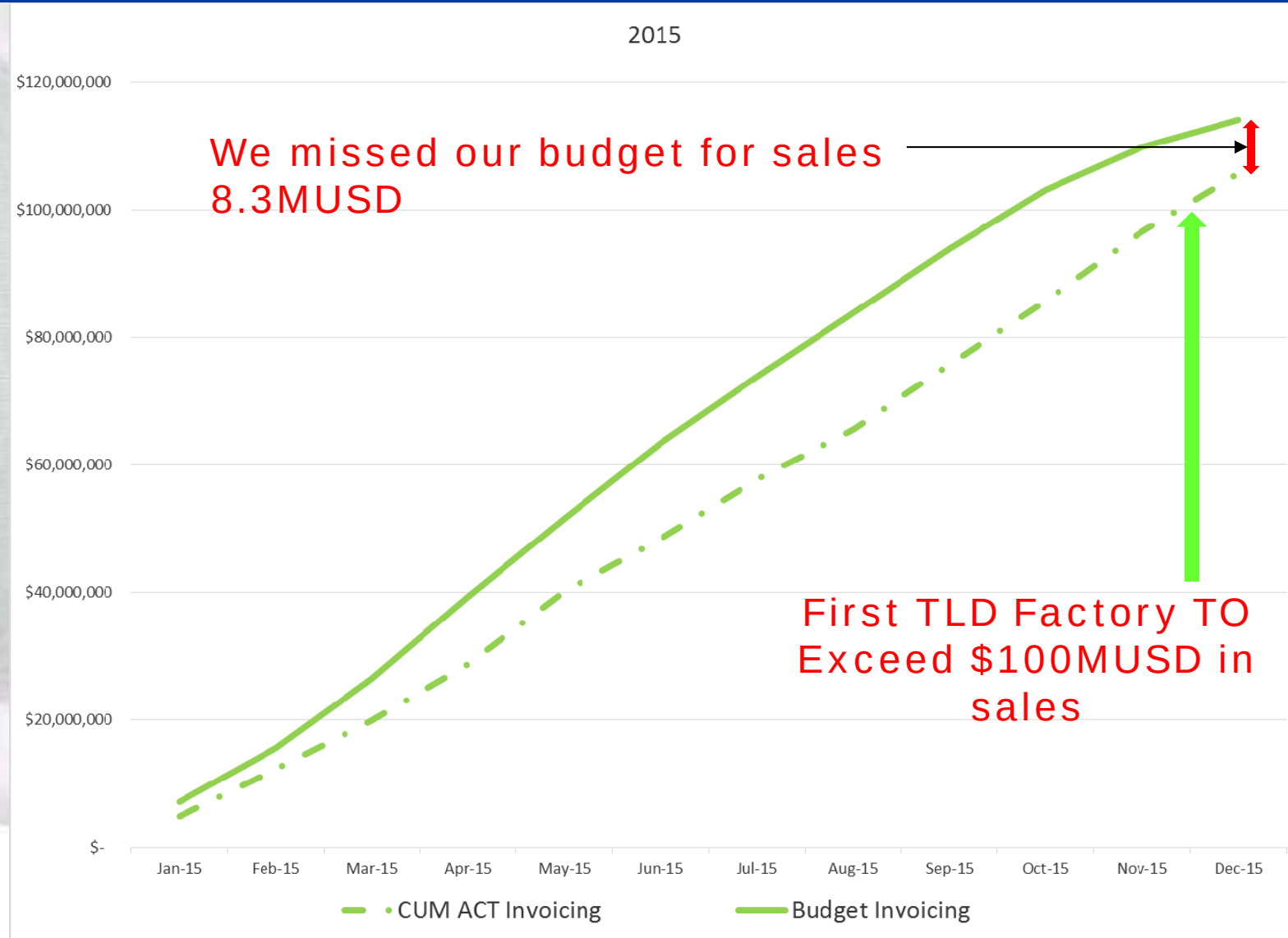
- **Profit is about 50% of budget**
 - High Expenses
 - High Unit Costs
 - Material
 - Labor Productivity
- **OTDP**
 - Improving, but still very low
- **Warehouse Delivery**
 - Unpredictable and impacting shop capacity



2015 Challenges

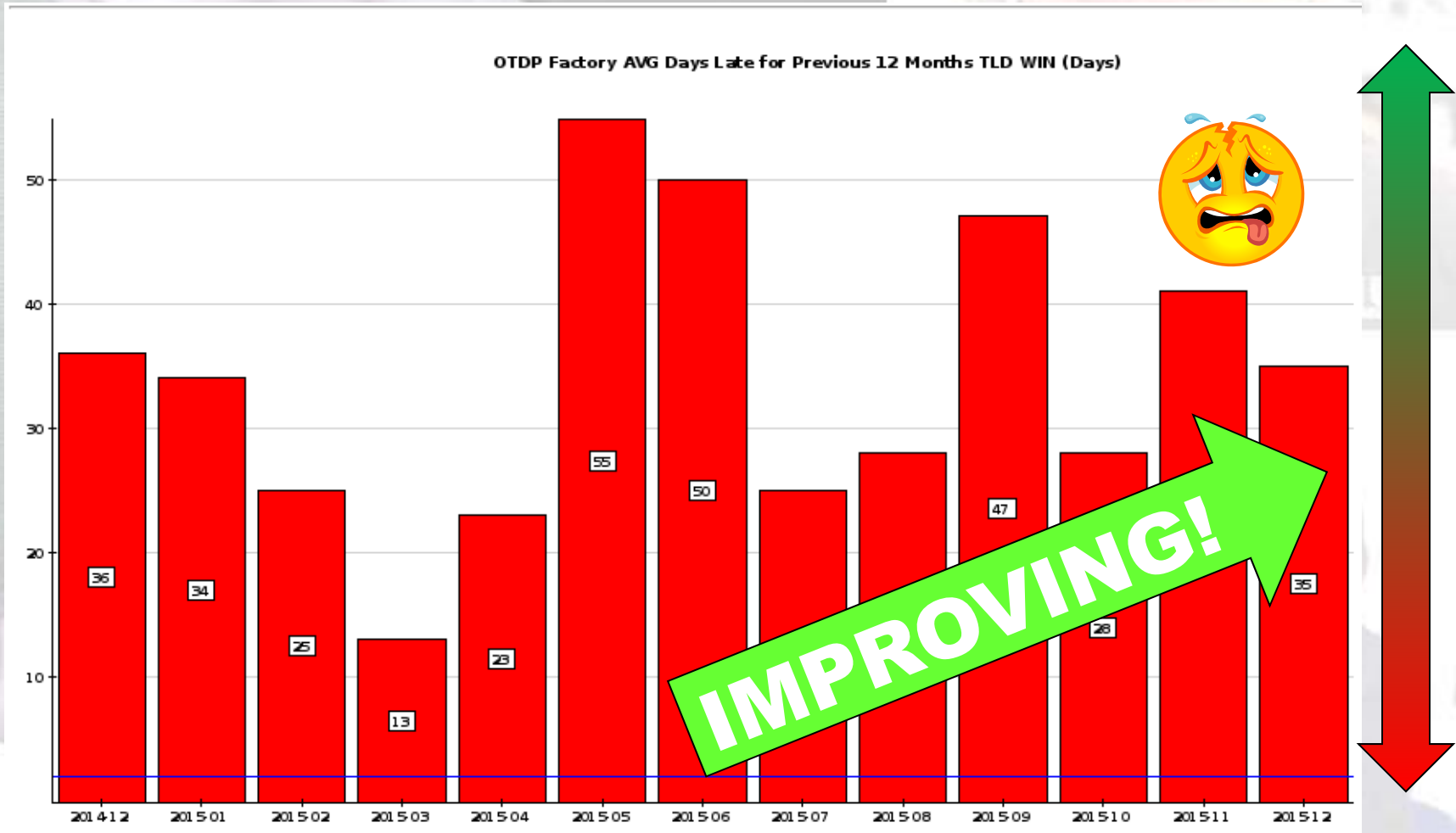
- **Filling up your gas tank**
 - But only going half as far
- **Buying a house**
 - But only getting to live in half of it
- **Going out to dinner**
 - But only getting appetizers & salad
- **Working Hard as a team**
 - But only seeing half the results

Imagine..



2015 YTD Sales

People behind your equipment



2015 On-Time Delivery

People/behind your equipment

Large Potential Contract

5 Years of Development

Quality Improvements

TLD Investment

Excellent Support

Cost Control

Future Improvements

288 Units

67 - LCU-025-CUP

53 - LCU-025-EMP

85 - ACU-435-CUP

83 - ACU-435-EMP

Estimated 30 Months of Production

Military Work is Important!



WC - For Units Shipped In The Past 2 Years

	Goal	2014-12	2015-01	2015-02	2015-03	2015-04	2015-05	2015-06	2015-07	2015-08	2015-09	2015-10	2015-11
TLD WIN													
AVG # WC per Machine	0.75	0.40	0.40	0.41	0.41	0.41	0.41	0.40	0.41	0.43	0.43	0.44	0.44
MTBF	500	860.8	860.8	847.3	845.4	841.8	833.2	837.4	824.5	794.3	784.5	774.3	779.1
AVG Time at 1st failure		176.3	172.2	173.9	174.2	171.8	171.2	178.4	178.4	177.5	170.7	168.4	168.5
% Machines with NO failure in 1st 3 months	85	91.06	90.56	89.98	89.84	89.98	90.23	90.34	90.58	90.17	89.96	89.50	89.60
Air Conditioners													
AVG # WC per Machine	0.5	0.57	0.57	0.60	0.58	0.56	0.57	0.55	0.58	0.61	0.65	0.64	0.61
MTBF	500	656.5	646.8	614.6	626.9	631.9	608.6	610.3	566.5	544.1	518.4	518.6	551.7
AVG Time at 1st failure		175.6	172.9	168.5	163.3	163.3	163.7	177.3	177.6	171.5	166.6	156.9	153.1
% Machines with NO failure in 1st 3 months	85	89.37	88.69	87.12	87.11	87.32	88.13	88.40	88.28	87.35	86.31	86.09	86.84
Air Starters													
AVG # WC per Machine	0.25	0.34	0.33	0.32	0.30	0.30	0.31	0.28	0.28	0.28	0.27	0.26	0.29
MTBF	700	1050.3	1075.0	1170.1	1268.1	1274.9	1264.6	1396.9	1419.3	1439.5	1423.9	1471.1	1364.1
AVG Time at 1st failure		192.3	216.8	230.1	240.2	247.8	232.9	222.5	212.3	207.7	200.7	173.0	203.8
% Machines with NO failure in 1st 3 months	90	92.15	92.27	92.67	92.95	93.72	93.58	94.04	94.44	94.31	94.59	94.55	94.93
Ground Power Units													
AVG # WC per Machine	0.25	0.30	0.30	0.30	0.32	0.32	0.31	0.31	0.30	0.32	0.31	0.33	0.35
MTBF	1000	1093.0	1099.4	1097.9	1045.3	1027.3	1060.7	1072.0	1101.0	1045.7	1074.1	1034.8	997.0
AVG Time at 1st failure		170.1	154.8	161.7	163.5	156.6	160.2	165.6	168.3	175.9	164.9	177.4	178.5
% Machines with NO failure in 1st 3 months	95	91.72	91.12	90.96	90.56	90.45	90.61	90.66	91.05	90.91	91.03	90.41	90.27
Military													
AVG # WC per Machine	2	0.03	0.09	0.14	0.28	0.31	0.38	0.51	0.46	0.44	0.45	0.46	0.53
MTBF	250	5639.0	2241.3	1540.8	810.3	673.5	574.9	463.0	510.3	560.0	588.9	586.8	527.0
AVG Time at 1st failure		421.0	238.0	244.8	280.8	244.8	217.3	205.8	205.8	205.8	213.9	211.0	178.2
% Machines with NO failure in 1st 3 months	70	100.00	100.00	100.00	100.00	100.00	96.00	94.34	95.08	95.45	95.65	94.74	91.25

Below Goal

Near Goal

Above Goal

Quality Summary

TLD STRATEGIC GOALS 2014-2016

- 1. Quality and reliability must come first to the mind of TLD employees and organisations.**
- 2. To install durably TLD as a synonym of superior and consistent customer support, while continuing to raise our level of expectations.**
- 3. To achieve our quality and support goals while delivering an excellent financial performance in term of profitability and cash flow.**

TLD Strategic Goals



TLD Quality Total Commitment

TLD pride is based on our Quality and Customer Satisfaction

Quality shall remain permanently first
in the mind of all TLD employees,
no compromise shall be made with what may affect Quality.



Quality means that rigor and attention to details
is the responsibility of each TLD employee.



Quality means that TLD shall provide its employees the proper
conditions, a teamwork environment and the right organization
to execute Quality engineering, products and service.



Quality means that TLD fosters an open eye and mouth policy
with all its employees in order to make sure that
any deviation is detected, raised, recorded and fixed.

Quality of a TLD product shall be a synonym of
Simplicity, Reliability and Ease of Maintenance.

Quality of TLD service shall be a synonym of diligence,
responsiveness, transparent communication, expertise
and convenience for the customer.



Quality means that TLD shall systematically learn
from customer and field experience.



Quality means that any TLD customer or product issue
shall be rigorously recorded, diligently treated and actions
tracked until a solution is agreed upon and implemented.



Quality means that TLD spirit, goals and processes
shall be continuously conveyed and enforced
with TLD suppliers and business partners.



Quality means that, to support continuous improvement
and control group wide consistency, TLD shall measure
and monitor its performance

LOCAL SUPPORT, TOTAL COMMITMENT

People behind your equipment



SREM – The TLD WAY





SREM – The TLD WAY

- **Our safety program is working!**
 - Our incident rate continues to reduce
 - Thank you for your safe work
- **Ways to Improve your Safe Work Habits**
 - Seek Cleanliness – Avoid Clutter
 - Don't Take Risks
 - Ask for help

Safety

- **Holiday Shutdown**
 - Get some rest!
 - Maintenance Activities
- **ISO Audit**
 - January 7 & 8
- **770 Office Opening**
 - Tentative 1/31/2016



Upcoming Events

- **Another Growing Year!**
 - 128MUSD
 - 20% Growth over 2015!
 - 1078 Units
 - About the same
 - Every month over 10 MUSD!
 - We must have better profit in 2016!

2016 Budget

People behind your equipment

Late
Delivery
Penalties

Last
Minute
Order
Changes

Excessive
Office
Supplies

Poor
Vendor
Quality

Wasted Energy

Damaged
Parts

Material Costs

Warranty
Costs

Productivity

Wasted
Overtime

Lost Tools

Project
Schedule
Delays

Our Business is Leaking Profit

People behind your equipment

TLD



COOPERATION

COMPETITION

Teamwork



People/behind your equipment

- **RONCE will be paid for 2015**
 - Not certain to be at 100%, but will be close
- **2016 RONCE Forecast**
 - Excellent volume and predicted profitability
 - We need to **EXECUTE!**
 - Cost Savings
 - Efficiency Improvements
 - Cost Control

RONCE

- **Quality Must Come First to Each of Us**
- **Teamwork is essential to meet our exciting challenges!**
- **We must satisfy our customers – this is the way to grow and protect our market share**
- **Continuous Improvement is the key to 2016 – We must plug the leaks!**

**Every action we take impacts the company and ourselves
– Make your impact Positive –**

Summary

People behind your equipment

Support Quality Innovation

Our continuous common goals

